

¹ ULIPs, or Unit Linked Insurance Plans, unlike plain vanilla Term Insurance plans, also have an investment portion. There is interplay between how much goes into covering mortality (the insurance part) and how much goes into investment. These can be easily tweaked by the manufacturer to give attractive optics to customers, but the reality is that ULIPs are ‘push’ products and thus require huge brokerage commissions to be sold. The fact that the tenors run into decades allows the manufacturer to implicitly charge the customer hefty upfront brokerage commission and yet promise good absolute returns to the client. Over the years, the brokerage has come down significantly from 40 to 60 per cent of the first-year premium to less than 5 per cent now. However, ULIPs continue to be far more expensive than mutual funds. Also, mutual funds allow investors to choose the best in class fund managers while ULIPs’ investment performance tracking is far less transparent.

Halan, Sane & Thomas document that Indian investors lost more than Rs 1.5 lakh crore (approximately US\$23 billion) on these products because of lapsing. Also, the India Household Finance Committee report (2017) acknowledges the mis-selling of ULIPs where investors were not informed about the compulsory investment required in subsequent years. That allowed insurance companies to confiscate investors’ funds when the investor did not make payments in subsequent years (Source: <http://www.igidr.ac.in/pdf/publication/WP-2013-007.pdf>).

² Structured products are financial notes (similar to bonds or debentures) issued by institutions which typically offer capital protection and some participation in equity markets. Thus they allow the investor to benefit from an appreciation in the stock market while staying insulated from significant downside.

³ MFs, PMS and AIFs are all funds or pooling vehicles to invest in securities. MFs, the oldest category, have a minimum investment of Rs 5000 and are popular among retail investors. For the same reason, they are the most stringently regulated. PMS (Portfolio Management Schemes) have a minimum investment size of Rs 25 lakh and allow more customized and focused strategies designed for HNWs. The third category, AIF (Alternate Investment Funds) was launched in 2013 and allows for a minimum investment of Rs 1 crore. AIFs follow far more sophisticated and complex investment strategies and are meant for Ultra HNWs.